

Kigali on: 12th December 2024

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Mr. Pierre Celestin RWABUKUMBA

The Chief Executive Officer,

Rwanda Stock Exchange (RSE)

1st Floor, Kigali City Tower,

P.O.Box 3882, Kigali Rwanda.

Dear Mr., RWABUKUMBA,

RE: CIMERWA PLC 2024 Full Year Results for the Financial Period ended 30th September 2024

I am pleased to share with you CIMERWA Plc's Press Release for the Full Year Results for the Financial Period ended 30th September 2024.

The detailed Press Release is attached for your convenience.

Sincerely,



Mangesh Kumar
CEO, CIMERWA Plc.

CC: CMA - Rwanda

Media Release

12th December 2024

Kigali, Rwanda

CIMERWA PLC POSTS RECORD REVENUES OF FRW 117.3BN, A 13.9% INCREASE VERSUS PREVIOUS YEAR.

"We are pleased to report that our revenue in 2024 was Frw 117.3.bn, which is 13.9% above the previous year. This performance is mainly attributed to the optimization of our production processes, cost savings initiatives, acquisition of Prime cement assets and a revamped route-to-market model for both our domestic and export markets," said Mangesh Kumar Verma, CEO. of CIMERWA Plc as he announced the company's year-end results.

"Our Profit Before Tax (PBT) stood at Frw 23.5bn, a significant improvement of 17.1% compared to the prior year. This is attributed to increased gross profit as a result of cost management initiatives resulting in a lower cost of production,

"The performance drove our Earnings Per Share (EPS) up to Frw 26.33, compared to Frw 22.21 in the prior year, an increase of 18.6%," Mangesh added

The company is servicing a healthy pipeline of major infrastructure projects such as the new Bugesera International Airport and various infrastructure projects, amongst others. In addition, there is execution of our Route-to-market strategy, the optimization of selling prices as well as distribution channels for both domestic and export markets.

"We are very proud of this past year's financial performance. We remain very optimistic that the optimization of selling prices as well as distribution channels for both domestic and export markets will translate to an even better performance in the coming year., said Devang N Raval, Chairman of CIMERWA Plc.

"Sustainability remains an integral part of our business; we have put in place a strategy and roadmap to guide actions around ESG such as environmental protection and carbon footprint reduction. In our journey towards Net zero in the long term, we are building on the solid progress made over the last years, including reduction of carbon dioxide emission per tone of cement produced by over 20%. This has been made possible by efficient delivery of key levers of our decarbonization strategy which include reducing clinker factor, increasing coal substitution with usage Alternative Fuels such as biomass and tapping into renewable energy solutions." Added Devang

"This good performance reflects our adaptability to changing market dynamics, unwavering commitment to high production standards. This achievement is the result of a joint endeavor beginning with our dedicated skilled staff who work tirelessly to contribute to this company, alongside a proficient and devoted board of directors and our supportive stakeholders.

We remain steadfast in our commitment fulfilling on our promise to continue STRENGTHENING RWANDA."



STRENGTHENING
RWANDA

About CIMERWA

Established in 1984, CIMERWA Plc has 40 years as Rwanda's first and only integrated cement manufacturer. The firm's production plants is Bugarama, Rusizi District near the Southwestern border of Rwanda with a newly acquired plant in Musanze district, Northern Province.

CIMERWA is focused on the journey of Strengthening Rwanda in a pursuit to lay strong foundations for future operations. It has been delivering on that by minimizing any adverse impact of its operations on the environment and society, supplying cement to key projects such as Inzovu Mall, New Bugesera Airport and Amahoro national stadium.

CIMERWA is the only manufacturing company in Rwanda with IMS IS certification, an Integrated Management System (IMS) that merges the three ISO standards into one system: Quality Management (ISO 9001), Environmental Management (ISO 14001) and Occupational health & safety Management (ISO 45001) systems.

This is an assurance to customers that the company offers premium quality products and to stakeholders that sustainability business practices is an integral part of our business. CIMERWA Plc is committed to building strong partnerships with leaders and members of the local community. In the process, the firm has helped set up several initiatives geared at improving the livelihoods of the people. These include a nursery and primary school, medical clinic, a market, a tailoring workshop, and providing them with clean, piped water among many others.

STATEMENT OF FINANCIAL POSITION	30/09/2024	30/09/2023
	Frw'000	Frw'000
ASSETS		
Non-current Assets	118,126,467	71,917,048
Current Assets	54,318,197	40,483,730
Total Assets	172,444,664	112,400,778
EQUITY & LIABILITIES		
Capital and Reserves	85,309,871	79,989,945
Share capital	35,160,976	35,160,976
Share premium	22,251,408	22,251,408
Accumulated Profits	27,897,487	22,577,561
Non-current liabilities	59,991,566	6,156,927
Current liabilities	27,143,227	26,253,906
Total Equity and Liabilities	172,444,664	112,400,778

STATEMENT OF COMPREHENSIVE INCOME	30/09/2024	30/09/2023
	Frw'000	Frw'000
Revenue	117,363,252	103,068,104
Cost of sales	(79,556,516)	(70,251,463)
Gross profit	37,806,736	32,816,640
Other income		
Interest income		
Administrative expenses	(11,048,852)	(11,936,787)
Operating profit	26,757,883	20,879,854
Finance Costs	(3,212,810)	(779,688)
Profit before taxation	23,545,073	20,100,166
Income tax provision	(5,032,750)	(4,484,566)
Profit for the year	18,512,323	15,615,600
Other comprehensive income:	-	-
Total comprehensive income for the year	18,512,323	15,615,600

Earnings Per Share (EPS) 26.33 22.21

STATEMENT OF CASHFLOW	30/09/2024	30/09/2023
	Frw'000	Frw'000
Cash flows from operations	39,373,039	25,725,282
Interest received	260,561	116,237
Interest paid	(1,984,561)	(2,208,068)
Income tax paid	(7,706,226)	(733,813)
Net cash from operating activities	29,942,812	22,899,638
Purchase of property, plant, and equipment	(55,253,903)	(4,355,003)
Purchase of intangible assets	(487,011)	(445,692)
Proceeds from disposal of PPE	425,552	-
Prepayments	(17,918,902)	-
Net proceeds from borrowings	57,563,960	-
Repayment of borrowings	(11,130,832)	(10,653,607)
Principal elements of lease payments	(16,827)	(23,390)
Dividend paid	(13,192,397)	(10,500,000)
Net increase in cash and cash equivalents	(10,067,547)	(3,078,054)
Cash and cash equivalents at the start	17,597,912	20,059,115
Effects of exchange rate changes	563,015	616,850
At the end of the period	8,093,381	17,597,912

STATEMENT OF CHANGES IN EQUITY	30/09/2024	30/09/2023
	Frw'000	Frw'000
Share capital	57,412,384	57,412,384
Retained Earnings	27,897,487	22,577,561
At the end of the period	85,309,871	79,989,945

RESULTS HIGHLIGHTS

Statement of comprehensive income

The revenue in 2024 at Rwf 117.36 bn, that is 13.9 % above prior year, due to improved production coupled with effective execution of our route- to- market strategy involving optimization of selling prices, purchase of Prime assets as well as distribution channels for both domestic and export markets.

Gross Profit increased by Rwf 4.99 bn to Rwf 37.80 bn, and the gross profit margin remained flat to 32% in 2024 compared to prior year due to impact of inflationary pressure and local currency devaluation against the USD on key inputs costs.

Profit Before tax (PBT) stood at Rwf 23.54 bn, an improvement of 17.1% versus the prior year. This was an account of the increased gross profit that netted off the impact of increased administrative expenses and finance costs driven by increased forex losses.

The above improved profitability drove earnings Per Share (EPS) up to Rwf 26.33, from Rwf 22.21 in the prior year, an increase of 18.6%.

Statement of cash flow

The Company continued to maintain a healthy cash balance of Rwf 8. 0 bn as at 30th September 2024.

Cash flows from operations increased by Rwf 13.64 bn, an increase of 53% due mainly to the increase in trade and other payables by 57% to Rwf 17.55 bn. The company continued to benefit from robust working capital management measures bolstered by optimization of payable levels.

The borrowing relates to the purchase of Prime cement assets in July 2024 and capacity improvement projects implemented in February

2024. The increase in the period is due to new loans drawn down as discussed above.

Outlook

The Rwanda GDP is project to grow by an average of 6.6% in 2025 driven by increased economic activities across all sectors of the economy.

On the back of this, we anticipate a healthy pipeline of major infrastructural projects that give us a strong basis that the company will continue to maintain its strong market position supported by a revamped rout -to- market model that will see continued growth in the local and export markets.

We remain cautiously optimistic that further improvement in operational performance and the solid foundation laid so far will translate to even better financial performance going forward.